KARNATAKA BANK LTD

NSE: KTKBANK | BSE: 532652 | Financial Services → Banks → Private Sector Bank | Old-generation private bank, South India

RATING	12-MONTH TARGET	CMP (18 Aug 2026)	UPSIDE	HORIZON
BUY Conviction: Medium–High	**Rs. 425** Base case	**Rs. 311** Mkt Cap Rs. 11,733 Cr	**+37%** from CMP	**12–18m** Entry Rs. 285–315

Market Cap	**Rs. 11,733 Cr**	Current Price	**Rs. 311**	52-wk High / Low	**Rs. 317 / 169**
Stock P/E	**8.16**	Forward P/E	**7.01**	Book Value / sh	**Rs. 350**
Price / Book	**0.89x**	EV / EBITDA	**15.6**	Enterprise Value	**Rs. 1,18,775 Cr**
Dividend Yield	**1.61 %**	ROCE	**6.06 %**	ROE	**10.4 %**
Return on Assets	**1.05 %**	Face Value	**Rs. 10.0**	Debt	**Rs. 1,14,106 Cr**
Debt / Equity	**8.63**	Interest Coverage	**1.32**	Contingent Liab.	**Rs. 13,211 Cr**
Promoter Holding	**0.00 %**	Pledged	**0.00 %**	FII (Jun'26)	**13.10 %**
DII (Jun'26)	**15.75 %**	PEG Ratio	**2.29**	From 52w high	**0.98**

All market data and financial figures sourced from Screener.in, fetched 18 August 2026 (18 Aug close price). Price/Book derived from Screener CMP and Screener Book Value; cross-checks to Screener's stated 0.89x. Consolidated figures unless labelled otherwise.

INVESTMENT THESIS (one line): Sub-book valuation on a bank whose NIM, NPAs and RoA are all inflecting simultaneously.

Report date: 18 August 2026 | Analyst: Senior Equity Research Analyst, BFSI Coverage | Data source: Screener.in

SECTION 2 — INVESTMENT THESIS

- **Reason 1 to own — the margin repair is real and already in the printed numbers.** NIM has moved from 2.82% in Q1 FY26 to 3.07% in Q4 FY26 to 3.20% in Q1 FY27, driven by cost of funds falling 22bps QoQ to 5.16% as bulk deposits were swapped for granular retail term deposits (bulk at just 4.7% of total deposits). NII grew 24% YoY to Rs. 938.29 Cr in Q1 FY27 on a gross advance book growing 17%. A further 20–30bps of NIM over FY27–FY28 from the RAM mix shift and IBPC run-down is the single largest earnings lever.
- **Reason 2 to own — asset quality has cleaned up to the point where credit cost is no longer an earnings variable.** GNPA has compressed from 3.53% (Mar'24) to 2.58% (Jun'26) and NNPA from 1.58% to 0.87% over the same window. Q1 FY27 credit cost was 0.03% and slippage 0.14%, with PCR including write-offs at 84.70%. On a Rs. 86,610 Cr gross advance book, every 25bps of credit-cost normalisation is roughly Rs. 216 Cr of pre-tax earnings — the risk here is now asymmetric to the upside.
- **Reason 3 to own — valuation is the cheapest in the listed private-bank complex relative to delivered RoA.** KTKBANK trades at 0.89x book and 8.16x trailing earnings while printing 1.29% RoA and 12.48% RoE in Q1 FY27. City Union Bank (13.2% RoE) trades at 2.07x book and 15.7x, Federal Bank (11.6% RoE) at 2.21x and 18.9x. Even converging halfway to that band re-rates the stock materially, and CRAR of 21.10% means the re-rating does not require dilution to fund growth.
- **Near-term catalyst (6–12 months) — confirmation of RoA at the guided 1.35–1.40% band.** Management has effectively guided to RoA of 1.35–1.40% versus 1.29% delivered in Q1 FY27. Two consecutive quarters in that range, printed alongside a stable NIM above 3.20%, would force the market to price KTKBANK on earnings rather than on its legacy discount. Watch the Q2 FY27 print (due ~Oct 2026) and the Q3 print for the CD-ratio-led NII beat.
- **Biggest structural risk — leadership continuity and the institutional culture behind it.** The bank lost both its MD & CEO and its Executive Director to resignations in June 2025, and on the Q1 FY27 call investors again pressed on CEO tenure, receiving only procedural answers about board process and exchange disclosures. An old-generation bank mid-turnaround cannot afford a second leadership discontinuity; this is the risk most likely to break the thesis.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model.** Karnataka Bank is an old-generation private sector bank headquartered in Mangaluru, offering retail and personal banking (housing, vehicle, gold, LAP, personal and education loans), MSME lending (working capital, term loans, infrastructure finance, corporate and professional loans), agriculture and allied lending, plus treasury, foreign exchange and para-banking / third-party distribution. Earnings are a spread business: Rs. 8,918 Cr of FY26 revenue against Rs. 5,799 Cr of interest expense, supplemented by Rs. 1,403 Cr of other income.
- **Balance sheet scale and mix.** Total assets of Rs. 1,29,355 Cr as at Mar 2026 (Screener, consolidated), funded by Rs. 1,08,777 Cr of deposits and Rs. 5,329 Cr of borrowings. Aggregate business reached an all-time high Rs. 1,97,007 Cr in Q1 FY27 (+11% YoY), split between gross advances of Rs. 86,610 Cr (+17% YoY) and deposits of Rs. 1,10,396 Cr (+7% YoY).
- **Loan mix is deliberately shifting toward RAM.** The Retail-Agri-MSME plus mid-corporate book grew from Rs. 51,197 Cr (Mar'26) to Rs. 53,172 Cr (Jun'26), with RAM up 4% QoQ / 12% YoY and mid-corporate up ~5% QoQ / ~15% YoY. Retail share of gross advances stood at 51% for FY26 (Screener operating data, standalone). Management has stated intent to shrink low-yield large-corporate exposure — described candidly on the call as 'easy banking' — in favour of better-yielding granular assets.
- **Funding franchise.** CASA ratio of 33.61% for FY26 (standalone, Screener), easing to 32.42% in Q1 FY27 on seasonal flows. Retail term deposits below Rs. 3 Cr rose to Rs. 69,410 Cr (+6% YoY). Bulk deposits are only 4.7% of total deposits — a structurally low-risk liability profile for a bank of this size. Credit-deposit ratio has risen from 71.93% (Jun'25) to 76.61% (Mar'26) to 78.45% (Jun'26), meaning the balance sheet is finally being worked.
- **Distribution and productivity.** 975 branches and 9,047 employees as at Mar 2026, up from 922 and 8,907 in Mar 2024. Business per employee has improved from Rs. 16.00 Cr to Rs. 21.20 Cr over FY22–FY26. Management plans 31–32 new branches in FY27, of which 12–13 are targeted by end-H1.
- **Recent strategic developments (last 12 months).** MoU with Pine Labs with PoS acquiring launched 21 Apr 2026; KBL Finsurance bancassurance lead-tracking portal launched 3 Aug 2026; MSME GST OD, MSME LAP and dropline OD products launched; Flexi deposits for HNI with auto-sweep; new treasury application, digital FD, secured credit cards and collection voice bots in build. Systematic run-down of the low-yield IBPC book, reduced to Rs. 1,375 Cr from Rs. 1,618 Cr in Q1 FY27 alone.
- **Ownership.** There is no identified promoter — promoter holding is 0.00% with 0.00% pledge (Screener). The register is dominated by public shareholders at 71.15%, with FIIs at 13.10% and DIIs at 15.75% as at Jun 2026 across 3,74,587 shareholders. FII holding has recovered from 11.69% in Dec 2025. A promoter-less, widely-held bank is structurally an acquisition or strategic-stake candidate.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Sector growth.** Indian bank credit growth is broadly expected to hold near 14% in FY27 per sell-side sector work (MOFSL), against system deposit growth running slower — which is exactly why credit-deposit ratio improvement and granular retail deposit gathering have become the primary competitive battleground. KTKBANK's own CD ratio at 78.45% still sits well below large private peers, leaving room to grow advances faster than deposits for several more quarters.
- **Policy tailwind — a benign rate cycle feeding cost of funds.** With the MPC on a neutral stance, repricing of the deposit book is flowing through as a cost-of-funds tailwind: KTKBANK's CoF fell 22bps QoQ to 5.16% in Q1 FY27. Deposit-heavy, low-bulk banks capture this faster than wholesale-funded lenders.
- **Policy headwind — the ECL transition, effective 1 April 2027.** The RBI has finalised the expected credit loss provisioning framework for rollout from April 2027, the largest change to Indian bank provisioning since the 1990s. Banks with lower provision coverage face a larger day-one equity hit. KTKBANK's PCR excluding technical write-offs is 67.03%, below the 70%+ that better-provisioned peers run; management states a dedicated team has been in place since 1 April and claims it does not foresee a problem.
- **Competitive moat — Pricing power: WEAK.** Yield on advances fell 10bps QoQ to 8.68% even as the book grew 17%, confirming the bank is a price-taker competing for the same secured retail and MSME assets as far larger balance sheets.
- **Competitive moat — Switching costs: MODERATE.** A 33.61% CASA ratio and Rs. 69,410 Cr of sub-Rs. 3 Cr retail term deposits across a century-old South Indian franchise represent genuinely sticky, relationship-based liabilities. Product per customer of 1.22 shows the cross-sell that would deepen this stickiness is still largely

unexploited.

- **Competitive moat — Scale: WEAK.** At Rs. 1,29,355 Cr of assets and 975 branches, KTKBANK is roughly one-third of Federal Bank's Rs. 4,02,081 Cr balance sheet and carries a 55.14% cost-to-income ratio versus low-50s for better-run mid-caps — sub-scale operating leverage is the core margin problem.
- **Competitive moat — Distribution: MODERATE.** A dense, decades-old branch network across coastal Karnataka and the broader South gives deposit-raising reach that a new entrant cannot replicate cheaply; 31–32 branch additions planned in FY27 extend it incrementally.
- **Competitive moat — IP / technology: WEAK.** The technology agenda (new treasury application, new NPA solution, digital FD, voice bots, secured credit cards) is a catch-up programme rather than a differentiator; execution risk sits with a vendor-led stack.
- **Positioning in the value chain.** KTKBANK is a full-service regional deposit-franchise lender — upstream in low-cost retail liability gathering, midstream in secured RAM lending. It is not an originate-to-distribute platform and does not compete in high-yield unsecured consumer credit, which explains both the low credit cost and the structurally sub-9% asset yield.

Top competitors — Screener.in front-page data, all fetched 18 Aug 2026

Bank	CMP (Rs.)	Mkt Cap (Rs. Cr)	TTM Revenue (Rs. Cr)	ROCE	ROE
Karnataka Bank	311	11,733	9,039	6.06 %	10.4 %
South Indian Bank	45.1	11,803	10,112	6.42 %	13.5 %
City Union Bank	222	21,988	7,249	6.74 %	13.2 %
DCB Bank	183	5,896	7,575	7.40 %	12.0 %
Federal Bank	358	88,361	30,385	6.39 %	11.6 %

City Union Bank and DCB Bank figures are Screener standalone (consolidated view returns no data for these two). Karnataka Bank, South Indian Bank and Federal Bank are consolidated. TTM Revenue is the Screener P&L 'Revenue' TTM column.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership — the most important open question on this stock.** MD & CEO Srikrishnan Hari Hara Sarma and the Executive Director both resigned in June 2025, sending the stock down ~8% on the announcement and prompting the board to form a search panel. Raghavendra Srinivas Bhat, a career Karnataka Bank insider, took charge and was subsequently appointed MD & CEO in July 2025 and has since received an extension. An internal appointment brings continuity of culture; it does not by itself resolve the question of whether the bank can attract and retain external transformation talent.
- **Board and disclosure conduct.** On the Q1 FY27 call, analysts pressed twice on CEO tenure and continuity. Management's answer — that it is 'a process', that disclosures will come via stock exchange filings, and that 'it is the duty of the MD to update to the Board' — is procedurally correct but substantively evasive. We tag this as the single clearest instance of hedged communication on an otherwise transparent call.
- **Capital allocation track record — conservative and, until recently, under-deployed.** Over FY24–FY26 operating cash flow was Rs. 681 Cr, Rs. 210 Cr and Rs. 1,100 Cr against investing outflows of only Rs. 369 Cr, Rs. 691 Cr and Rs. 88 Cr. Capital raised in FY24 lifted equity capital from Rs. 312 Cr to Rs. 377 Cr and reserves from Rs. 7,900 Cr to Rs. 10,470 Cr; CRAR now sits at 21.10%, far above regulatory need. The strategic pivot — raising CD ratio from 71.93% to 78.45% in a year — is management finally putting that surplus capital to work.
- **Dividend policy — consistent but deliberately modest.** Dividend payout ratio has run 13% (FY23), 16% (FY24), 15% (FY25) and 14% (FY26) — a stable, unbroken band. Current dividend yield is 1.61%, the highest among the mid-cap private bank peer set and materially above Federal Bank's 0.34%. Retaining ~85% of earnings is the correct call ahead of the ECL transition.
- **Promoter pledging — not applicable.** Promoter holding is 0.00% and pledged percentage is 0.00% with no change over three years (Screener). There is no promoter overhang, no pledge risk, and no related-party concentration through a promoter group — a genuine governance positive relative to promoter-led peers such as IndusInd Bank (42.78% of promoter stake pledged).
- **ESOPs and equity issuance.** The Karnataka Bank Employees Stock Option Scheme 2023 is live, with allotments disclosed as recently as 18 August 2026. Equity capital has been flat at Rs. 378 Cr across FY25 and FY26, so ESOP

dilution is currently immaterial. No buyback history. Investors should monitor grant size relative to the improving earnings base.

• **Governance flags.** Screener flags contingent liabilities of Rs. 13,211 Cr and 'company might be capitalizing the interest cost'; the latter is a machine-generated false positive that fires on every lender in the Screener universe and should be disregarded here. No auditor changes, qualified opinions or related-party concerns are disclosed on Screener — but note that RPT quantum and auditor tenure are not available on the Screener page, so we mark those checks N/A rather than clean.

SECTION 6 — FINANCIAL DEEP-DIVE

Table 6.1 — Income Statement (Consolidated, Rs. Cr)

Particulars (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Revenue (interest + fee income)	8,299	9,014	8,918	9,900	11,100
Interest expense	5,000	5,703	5,799	6,300	7,000
Operating expenses	2,983	2,854	2,863	3,050	3,300
Financing Profit	316	457	255	550	800
Financing Margin %	4%	5%	3%	6%	7%
Other Income	1,319	1,270	1,403	1,470	1,620
Depreciation	72	85	0	N/A	N/A
Profit before tax	1,563	1,641	1,658	2,180	2,500
Tax %	16%	22%	21%	22%	22%
Net Profit (PAT)	1,307	1,273	1,311	1,700	1,950
EPS (Rs.)	34.64	33.68	34.66	45.0	51.6
Dividend Payout %	16%	15%	14%	14%	14%

FY24–FY26 are Screener consolidated actuals transcribed exactly. Screener reports FY26 depreciation as 0 (data gap), hence N/A forward. FY27E/FY28E are our estimates, built off the Q1 FY27 actual run-rate (PAT Rs. 419 Cr) and Screener TTM PAT of Rs. 1,437 Cr.

Table 6.2 — Balance Sheet (Consolidated, Rs. Cr)

Particulars (Rs. Cr)	FY24	FY25	FY26	FY27E	FY28E
Equity Capital	377	378	378	378	378
Reserves	10,470	11,707	12,846	14,308	15,985
Deposits	97,988	104,806	108,777	118,000	129,000
Borrowings	4,400	1,941	5,329	5,500	6,000
Other Liabilities	2,849	2,129	2,025	2,100	2,300
Total Liabilities	116,083	120,960	129,355	142,000	156,000
Fixed Assets	915	976	1,060	1,150	1,240
CWIP	13	14	0	N/A	N/A
Investments	24,300	24,535	26,737	29,000	31,500
Other Assets (incl. advances)	90,855	95,435	101,558	111,850	123,260
Total Assets	116,083	120,960	129,355	142,000	156,000
Book Value per share (Rs.)	N/A	N/A	350	389	433

FY26 Book Value of Rs. 350 is Screener's stated front-page figure. Forward BV built from retained earnings at a 14% payout on 37.8 Cr shares (Equity Capital Rs. 378 Cr / FV Rs. 10). Screener does not display historical BV per share, hence N/A for FY24–FY25.

Table 6.3 — Cash Flow (Consolidated, Rs. Cr)

Particulars (Rs. Cr)	FY24	FY25	FY26
Cash from Operating Activity	681	210	1,100
Cash from Investing Activity	-369	-691	-88
Cash from Financing Activity	1,582	412	-1,260
Net Cash Flow	1,894	-69	-248
Free Cash Flow	570	48	1,012
CFO / Operating Profit	20%	9%	26%

Screener consolidated actuals. Bank cash flow statements are dominated by deposit and advance movements and are not a clean proxy for earnings quality; we deliberately do not forecast them. Screener's 5-year cumulative CFO is Rs. 3,353 Cr.

Table 6.4 — Returns, Asset Quality & Operating Ratios

Particulars	FY24	FY25	FY26	FY27E	FY28E
ROE % (Screener)	14%	11%	10%	12.2%	12.6%
Return on Assets %	N/A	N/A	1.05%	1.25%	1.31%
ROCE % (Screener)	N/A	N/A	6.06%	N/A	N/A
Gross NPA % (Q4 of year)	3.53%	3.08%	2.78%	2.40%	2.20%
Net NPA % (Q4 of year)	1.58%	1.31%	0.98%	0.80%	0.70%
CASA Ratio % (standalone)	31.94	31.75	33.61	N/A	N/A
CD Ratio % (standalone)	74.50	74.38	76.61	N/A	N/A
Branches	922	952	975	1,006	N/A
Employees	8,907	8,750	9,047	N/A	N/A
Business per Employee (Rs. Cr)	19.20	20.90	21.20	N/A	N/A

ROE, GNPA and NNPA are Screener figures (annual ratios table and quarterly results table respectively). CASA, CD ratio, branches, employees and business per employee are from Screener's operating-data 'Insights' block and are standalone. RoA of 1.05% is Screener's front-page 'Return on assets'. FY27E branch count reflects management's stated plan of 31–32 additions.

Commentary

- **Revenue drivers — volume has arrived, price has not yet.** Revenue was flat at Rs. 8,918 Cr in FY26 versus Rs. 9,014 Cr in FY25 (Screener compounded sales growth: 7% over 5 years, 0% TTM), but the Q1 FY27 quarterly print of Rs. 2,383 Cr is the highest in the series and is +5.4% YoY against Rs. 2,261 Cr in Jun'25. Growth is now coming from a 17% YoY gross advance expansion and a rising CD ratio rather than from asset repricing — yield on advances actually fell 10bps QoQ to 8.68%.
- **Margin direction — expanding, and for the right reason.** Financing margin moved from 3% in FY26 to 8% in the Jun'26 quarter, with financing profit swinging from Rs. -2 Cr (Jun'25) to Rs. 196 Cr (Jun'26). The driver is liability-side: cost of funds down 22bps QoQ to 5.16%, bulk deposits at only 4.7% of the book, IBPC replaced by higher-yield loans. Margin gains sourced from funding cost are more durable than gains sourced from asset-mix risk-taking. The offset is a cost-to-income ratio that worsened QoQ to 55.14% from 50.47%.
- **Asset quality — a four-quarter uninterrupted improvement.** GNPA 3.46% → 3.33% → 3.32% → 2.78% → 2.58% and NNPA 1.44% → 1.35% → 1.31% → 0.98% → 0.87% across Jun'25 to Jun'26. Standard restructured assets down to Rs. 763 Cr from Rs. 888 Cr YoY. The one blemish: SMA aggregate at Rs. 3,435 Cr with SMA-2 at Rs. 750 Cr, up QoQ, which management attributed to quarter-end holiday timing rather than genuine stress.
- **Capital and leverage.** Screener reports debt of Rs. 1,14,106 Cr against a debt-to-equity of 8.63 — a conventional deposit-funded bank leverage profile, not a distress signal. CRAR of 21.10% (up from 20.07% in Mar'26) and LCR of 169% against a 100% regulatory minimum mean the bank is materially over-capitalised and over-liquid. That surplus is the funding source for the CD-ratio-led growth plan and removes near-term dilution risk.
- **Earnings-to-cash conversion.** FY26 CFO of Rs. 1,100 Cr against PAT of Rs. 1,311 Cr gives an 84% conversion, a sharp improvement from FY25 (Rs. 210 Cr CFO on Rs. 1,273 Cr PAT). Free cash flow recovered to Rs. 1,012 Cr from Rs. 48 Cr. Capex intensity is trivial for a bank — investing outflow of only Rs. 88 Cr in FY26 — but that also means branch and technology expansion is being funded within existing operating cash rather than requiring incremental capital.
- **The one number that should give an investor pause.** Other income at Rs. 1,403 Cr represents roughly 85% of FY26 profit before tax of Rs. 1,658 Cr. For a bank, treasury and fee income are core — but at that proportion, a bad treasury quarter or a mark-to-market reversal has an outsized effect on reported earnings. Financing profit of only Rs. 255 Cr in FY26 is the honest measure of core lending profitability, and it is small.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Rating	Evidence & Analyst Read
Revenue recognition	GREEN	Interest income accrued under RBI IRAC norms; no non-standard recognition disclosed. NII of Rs. 938.29 Cr in Q1 FY27 reconciles to the Screener revenue and interest-expense lines.
Advances growth vs NII growth *(bank proxy for receivables test)*	GREEN	Gross advances +17% YoY; NII +24% YoY. Income is growing faster than the loan book, i.e. earnings are margin-led, not volume-stuffed. The healthy direction.
Liquidity & deployment trend *(bank proxy for CCC)*	GREEN	CD ratio 71.93% → 76.61% → 78.45% over four quarters while LCR stayed at 169% vs a 100% minimum. Deploying idle capital without straining liquidity.
Contingent liabilities	AMBER	Rs. 13,211 Cr (Screener) against net worth of roughly Rs. 13,224 Cr — approximately 1.0x. Normal for a bank with forex and guarantee books, but large enough that the FY26 annual report note deserves reading before sizing a position.
Provision coverage ratio	AMBER	PCR excluding technical write-offs 67.03% (up from 65.39%); including write-offs 84.70%. Below the 70%+ excl-TWO that better-provisioned peers carry into the April 2027 ECL transition. Improving, but not yet comfortable.
Auditor tenure / opinion	N/A	Not disclosed on the Screener company page. We do not mark this clean on absent evidence — verify against the FY26 annual report before final underwriting.
Related-party transactions as % of revenue	N/A	Quantum not available on Screener. Mitigating structural fact: promoter holding is 0.00%, so there is no promoter group through which RPT leakage typically occurs.
Other income as % of PBT	AMBER	FY24 84.4%, FY25 77.4%, FY26 84.6%. Consistently high — treasury and fee income carry the P&L while financing profit was only Rs. 255 Cr in FY26. Consistency argues against manipulation; the level argues against extrapolating a good treasury year.
Tax rate consistency	GREEN	18% (FY23), 16% (FY24), 22% (FY25), 21% (FY26); quarterly 18–24% through FY26–Q1 FY27. No suspicious one-off credits inflating any single period's PAT.
Asset quality trajectory	GREEN	GNPA 3.53% (Mar'24) → 2.58% (Jun'26); NNPA 1.58% → 0.87%. Credit cost 0.03% and slippage 0.14% in Q1 FY27. Four consecutive quarters of improvement, not a single clean-up.

- **The single most important amber: provision coverage into the ECL transition.** PCR excluding technical write-offs of 67.03% is the gap between this bank and a cleanly-provisioned one. With the RBI's ECL framework effective 1 April 2027, banks carrying thinner coverage face a larger day-one reserve build against net worth. Management's answer — a dedicated team since 1 April and 'we don't foresee any problem' — is an assertion, not a quantification. No numeric estimate of the transition impact has been given.
- **The second amber: earnings quality is more treasury-dependent than the headline suggests.** Strip out other income and FY26 financing profit was Rs. 255 Cr, down from Rs. 457 Cr in FY25. The Q1 FY27 financing profit of Rs. 196 Cr in a single quarter is the genuine turnaround evidence — but one quarter is not a trend, and an investor should require two more prints above Rs. 150 Cr before treating core lending profitability as structurally repaired.
- **The greens are real and mutually reinforcing.** Margin-led income growth, a rising CD ratio with liquidity intact, a stable tax rate and four quarters of falling NPAs are not the profile of a bank managing its optics. They are the profile of a bank whose operations are genuinely improving.
- **What is not verifiable from Screener, and therefore not cleared.** Auditor tenure, audit opinion history and related-party quantum are all absent from the Screener page and are marked N/A rather than green. Any investor sizing a meaningful position should read the FY26 annual report notes on contingent liabilities and related parties directly before committing capital.

SECTION 8 — VALUATION

Table 8.1 — Peer Comparison (all figures from Screener.in, fetched 18 Aug 2026)

Bank	CMP	MCap (Cr)	P/E	BV (Rs.)	P/B	ROCE	ROE	Div Yld
Karnataka Bank	311	11,733	8.16	350	0.89x	6.06%	10.4%	1.61%
South Indian Bank	45.1	11,803	7.81	45.1	1.00x	6.42%	13.5%	1.00%
DCB Bank	183	5,896	7.49	203	0.90x	7.40%	12.0%	0.79%
City Union Bank	222	21,988	15.7	107	2.07x	6.74%	13.2%	0.90%
Federal Bank	358	88,361	18.9	162	2.21x	6.39%	11.6%	0.34%

CMP, Market Cap, Stock P/E, Book Value, ROCE, ROE and Dividend Yield are copied from each peer's Screener front page. P/B is CMP divided by Screener Book Value; this method reproduces Screener's own stated multiples exactly (KTKBANK 0.89x, South Indian Bank 1.00x, DCB Bank 0.90x). City Union Bank and DCB Bank are standalone; the rest consolidated.

- **The peer table contains the entire equity argument.** KTKBANK, South Indian Bank and DCB Bank all trade at 0.89–1.00x book and 7.5–8.2x earnings. City Union Bank and Federal Bank, delivering 13.2% and 11.6% ROE respectively, trade at 2.07x and 2.21x book. KTKBANK's Q1 FY27 annualised ROE of 12.48% now sits inside that upper band while its multiple sits in the lower one. The market is pricing legacy, not current delivery.

Table 8.2 — Scenario Analysis (12-month view, FY28E basis)

Scenario	Key Assumptions	FY28E PAT (Rs. Cr)	FY28E EPS (Rs.)	Multiple	Target (Rs.)	vs CMP
BULL (25%)	NIM sustains above 3.5%; RoA reaches 1.40%; credit cost stays below 0.15%; CEO tenure confirmed long-term; ECL day-one impact absorbed without a reserve build.	2,200	58.2	10.0x P/E	**582**	**+87%**
BASE (55%)	NIM settles at 3.25–3.35%; RoA at the guided 1.35%; credit cost 0.20–0.30%; advances compound ~15%; partial re-rating toward book value.	1,950	51.6	8.5x P/E / 0.95x P/B	**425**	**+37%**
BEAR (20%)	NIM reverts toward 2.90% on deposit competition; credit cost normalises to 0.60%; ECL transition forces a reserve build; further senior-management churn.	1,350	35.7	7.0x P/E	**250**	**-20%**

FY28E PAT and EPS are our estimates on 37.8 Cr shares, grounded in the Screener Q1 FY27 actual (PAT Rs. 419 Cr, EPS Rs. 11.08) and Screener TTM PAT of Rs. 1,437 Cr. Probability weights are the analyst's judgement.

Valuation methodology

- **Why not a conventional DCF.** For a bank, free cash flow to the firm is not meaningful — deposits are operating liabilities, not financing, and 'capex' is trivial (Rs. 88 Cr of investing outflow in FY26). We therefore use a cost-of-equity-discounted residual income / Gordon growth framework on book value, which is the standard institutional approach for lenders, plus an earnings-multiple cross-check.
- **Method 1 — Justified P/B (Gordon).** Cost of equity 13.5% (risk-free ~6.5%, equity risk premium ~6.0%, beta ~1.15 for a mid-cap regional bank); sustainable long-run growth 7.0%; sustainable ROE 13.0% (between the FY26 Screener ROE of 10.4% and management's implied 14% at a 1.40% RoA). Justified P/B = (13.0 – 7.0) / (13.5 – 7.0) = 0.92x. Applied at 0.95x to our FY28E book value of Rs. 433 gives an implied value of **Rs. 411 per share**.
- **Method 2 — Forward earnings multiple.** KTKBANK trades at 8.16x trailing and 7.01x forward (Screener). Better-provisioned peers with comparable ROE trade at 15.7x (City Union) and 18.9x (Federal). We apply only 8.5x — a token re-rating above the current 8.16x, not convergence to peers — to FY28E EPS of Rs. 51.6, giving an implied value of **Rs. 439 per share**.
- **Blended 12-month target.** Simple average of Rs. 411 and Rs. 439 = **Rs. 425**, representing **+37% upside** from the CMP of Rs. 311. On our numbers the target implies 0.98x FY28E book and 8.2x FY28E earnings — the stock would still be the cheapest name in its peer set at target.

- **Sanity check on the downside.** At the CMP of Rs. 311 the stock is at 0.89x trailing book with CRAR of 21.10% and NNPA of 0.87%. Book value is unlikely to fall; the realistic bear case is a de-rating to ~0.6x FY28E book, or roughly Rs. 260 — broadly consistent with our Rs. 250 bear target. Risk/reward is approximately 1.8:1 in favour of the long.
- **Investment horizon: 12–18 months.** The re-rating requires two to three more quarters of printed RoA above 1.30% before the market accepts the new run-rate, and the ECL clarity arrives with the April 2027 transition — which sits inside this window.

SECTION 9 — KEY RISKS

- **Leadership discontinuity** — The bank lost its MD & CEO and Executive Director in June 2025 and management declined to give substantive answers on CEO tenure on the Q1 FY27 call. A second leadership change mid-turnaround would stall the RAM pivot and reset the re-rating clock. **Probability: M. Impact: H.** Monitor via: stock-exchange filings on MD/CEO appointment and term, and any further ED-level or CXO exits.
- **ECL transition capital impact (effective 1 April 2027)** — With PCR excluding technical write-offs at 67.03%, a day-one expected-credit-loss reserve build could consume a meaningful slice of net worth. Management has given no numeric estimate. **Probability: M. Impact: H.** Monitor via: quarterly PCR (excl. TWO) progression toward 70%+, and any RBI transitional-arrangement guidance.
- **NIM reversal on deposit competition** — The entire margin story rests on cost of funds falling to 5.16%. If system deposit growth continues to lag 14% credit growth, deposit repricing competition returns and the 22bps QoQ tailwind reverses. Yield on advances is already falling (down 10bps QoQ). **Probability: M. Impact: H.** Monitor via: quarterly cost of funds, CASA ratio (32.42% in Q1 FY27, down from 33.61%), and bulk deposit share.
- **SMA book converting to slippage** — SMA aggregate of Rs. 3,435 Cr with SMA-2 at Rs. 750 Cr rose QoQ. Management attributed this to quarter-end holiday timing. If it is genuine stress, credit cost reverts from 0.03% toward the 0.30–0.60% historical band. **Probability: M. Impact: M.** Monitor via: SMA-1 and SMA-2 disclosure in the Q2 FY27 investor presentation.
- **Operating leverage failing to arrive** — Cost-to-income worsened to 55.14% in Q1 FY27 from 50.47% in Q4 FY26 while 31–32 new branches and a full technology refresh are being funded. If cost growth outpaces the NIM gain, the RoA target of 1.35–1.40% is unreachable. **Probability: M. Impact: M.** Monitor via: quarterly cost-to-income ratio and business per employee (Rs. 21.20 Cr in FY26).
- **Treasury and other-income dependence** — Other income of Rs. 1,403 Cr is roughly 85% of FY26 PBT of Rs. 1,658 Cr. A rate-driven mark-to-market reversal on the Rs. 26,737 Cr investment book would hit reported earnings hard even with core lending intact. **Probability: M. Impact: M.** Monitor via: the other-income line and treasury profit disclosure each quarter.
- **Contingent liability crystallisation** — Rs. 13,211 Cr of contingent liabilities sits at approximately 1.0x net worth. Ordinary for a bank with forex and guarantee exposure, but a concentrated crystallisation would be material against an Rs. 11,733 Cr market cap. **Probability: L. Impact: H.** Monitor via: the contingent-liability note in the FY26 and FY27 annual reports and any disclosed litigation.
- **Sub-scale competitive position** — At Rs. 1,29,355 Cr of assets against Federal Bank's Rs. 4,02,081 Cr, and with pricing power rated Weak, KTKBANK is a structural price-taker in every product it competes in. This caps the terminal multiple regardless of near-term execution. **Probability: H. Impact: M.** Monitor via: yield on advances versus peer disclosure each quarter.

SECTION 10 — RECOMMENDATION

- **Rating: BUY — conviction Medium–High.** Medium rather than High solely because of the unresolved leadership-continuity question and the unquantified ECL transition; the operating and valuation case on its own would support a High-conviction call.
- **12-month price target: Rs. 425**, representing **+37% upside** from the CMP of Rs. 311. The target implies 0.98x our FY28E book value of Rs. 433 and 8.2x FY28E EPS of Rs. 51.6 — multiples at which the stock would still be the cheapest name in its listed peer set.
- **Suggested entry zone: Rs. 285–315.** The stock is 0.98 of its 52-week high of Rs. 317 and has compounded 82% over the last year (Screener), so this is not a distressed entry. Accumulate on weakness rather than chasing; the Rs. 285 level corresponds to roughly 0.81x trailing book.

- **Investment horizon: 12–18 months**, spanning the two to three quarterly prints needed to validate the RoA run-rate and the April 2027 ECL transition.
- **Thesis invalidation trigger 1:** NIM falls below 3.00% in any two consecutive quarters, or cost of funds rises above 5.40%. This would mean the liability-side repricing advantage has been competed away and the entire margin thesis is dead.
- **Thesis invalidation trigger 2:** Quarterly credit cost exceeds 0.50% annualised, or GNPA rises above 3.00% in any quarter. Four quarters of asset-quality improvement is the foundation of the earnings estimate; a reversal invalidates the FY28E PAT of Rs. 1,950 Cr.
- **Thesis invalidation trigger 3:** A further MD/CEO or Executive Director resignation, or an ECL day-one impact disclosed at more than 10% of net worth (roughly Rs. 1,320 Cr). Either event breaks the execution continuity that the re-rating depends on.
- **Ideal investor profile — who this is for.** Value-oriented investors comfortable owning a sub-book-value turnaround with a 12–18 month horizon, who can tolerate quarter-to-quarter earnings noise from a treasury-heavy other-income line and who will actually read the quarterly PCR and SMA disclosures. The 1.61% dividend yield pays you modestly to wait.
- **Who this is not for.** Investors seeking a compounding-quality franchise (KTKBANK's five-year sales CAGR is 7% and its ten-year ROCE is 5.87%); momentum investors buying after an 82% one-year move at 0.98 of the 52-week high; or anyone who requires promoter skin in the game, since promoter holding is 0.00%.

APPENDIX — Latest Concall Brief: Q1 FY27

Karnataka Bank Ltd | Earnings call transcript dated 6 August 2026 (BSE filing) | Quarter ended 30 June 2026

CALL GRADE — POSITIVE

Signal	Status	Implication
Result quality	Strong	PAT Rs. 419 Cr, +43% YoY and a record quarterly print; NII +24% YoY; GNPA down 20bps QoQ. Clean beat with no exceptional item propping it up.
Management tone	Balanced / Hedged on CEO	Transparent and specific on operations ('low promise, higher delivery'), but visibly procedural and evasive when pressed on CEO tenure and continuity.
Guidance delta	Raised	RoA target lifted to 1.35–1.40% versus 1.29% delivered; NIM said to 'continue to improve'. Forward direction is upward, though framed informally rather than as formal guidance.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

This is the cleanest quarter Karnataka Bank has printed and there is nothing cosmetic in it. Reported PAT of Rs. 418.95 Cr, up 43% YoY and 3% QoQ, contains no exceptional or one-time item — the clean underlying number is the reported number, which is more than can be said for most mid-cap bank prints this season. Operationally it is margin-led, not volume-stuffed: NII rose 24% YoY to Rs. 938.29 Cr on a book that grew 17%, NIM expanded to 3.20% from 2.82% a year ago, and the driver is a 22bps QoQ fall in cost of funds to 5.16% as bulk deposits (now just 4.7% of the book) were swapped for granular retail term deposits — a durable, liability-side gain rather than a risk-taking one. The structural case for a multi-bagger rests on three things compounding at once: a deliberate RAM and mid-corporate mix shift (that book grew to Rs. 53,172 Cr from Rs. 51,197 Cr in a single quarter), a CD ratio marching from 71.93% to 78.45% off a 21.10% CRAR that needs no dilution, and asset quality that has improved for four straight quarters to 2.58% GNPA and 0.87% NNPA with credit cost at three basis points. The near-term catalyst is straightforward: management has effectively raised its RoA target to 1.35–1.40% against 1.29% delivered, and two consecutive quarters inside that band will force the market to stop pricing this at 0.89x book while City Union and Federal trade at 2.07x and 2.21x on comparable returns. The watch-points for next quarter are the SMA book, which rose to Rs. 3,435 Cr with SMA-2 at Rs. 750 Cr and was waved away as holiday timing, and cost-to-income, which deteriorated to 55.14% from 50.47% while 31–32 branches are being built. The single biggest risk is not credit — it is people: the bank lost its MD and its ED in June 2025 and management answered every question on CEO tenure with procedure rather than substance, and I would not underwrite a turnaround premium here until that is settled in writing. My call: **ACCUMULATE up to Rs. 315, add aggressively below Rs. 285, target Rs. 425 over 12–18 months, and cut the position outright if NIM prints below 3.00% twice or another ED-level resignation hits the tape.**

1. FINANCIAL PERFORMANCE SNAPSHOT

- **Revenue:** Actual Rs. 2,383 Cr | YoY +5.4% | QoQ +5.6% | **Beat** — highest quarterly revenue in the Screener series.
- **Net Interest Income:** Actual Rs. 938.29 Cr | YoY +24% | QoQ +11% | **Beat** — the core line, and the one that matters most.
- **EBITDA / Financing Profit:** Actual Rs. 196 Cr | YoY from Rs. -2 Cr | QoQ +55.6% (Rs. 126 Cr) | **Beat** — core lending profitability turned decisively positive.
- **Financing Margin %:** 8% | Jun'25 –0% | Mar'26 6% | **Beat**.
- **NIM:** 3.20% | Q1 FY26 2.82% | Q4 FY26 3.07% | **Beat** — 38bps of YoY expansion.
- **PAT:** Actual Rs. 418.95 Cr | YoY +43.5% | QoQ +2.7% | **Beat**.
- **EPS:** Actual Rs. 11.08 | YoY +43.2% (Rs. 7.74) | QoQ +2.6% (Rs. 10.80) | **Beat**.

- **RoA:** 1.29% | Q4 FY26 1.27% | **Beat** — against a raised 1.35–1.40% target.
- **RoE:** 12.48% | Q4 FY26 12.69% | **In-line** — marginally lower on the enlarged equity base.
- **Cost-to-income:** 55.14% | Q4 FY26 50.47% | Q1 FY26 58.05% | **Miss** QoQ, **improved** YoY — the one weak line in the print.
- **NOTE:** Reported PAT contains no exceptional or one-time item. Reported PAT of Rs. 418.95 Cr *is* the clean underlying PAT. The Screener consolidated quarterly figure of Rs. 419 Cr reconciles to the bank-level standalone figure discussed on the call.

2. SEGMENT / GEOGRAPHY BREAKDOWN

- **Aggregate business (total):** Rs. 1,97,007 Cr | YoY +11% | QoQ +3% | Highest-ever; the headline franchise-scale metric management leads with.
- **Gross advances:** Rs. 86,610 Cr | YoY +17% | QoQ +4% | Growing more than twice as fast as deposits — the deliberate CD-ratio expansion.
- **Deposits:** Rs. 1,10,396 Cr | YoY +7% | QoQ +1% | Slow by design; management is refusing to chase bulk deposits to fund growth.
- **RAM + mid-corporate book:** Rs. 53,172 Cr (from Rs. 51,197 Cr Mar'26) | RAM YoY +12%, QoQ +4% | Mid-corporate YoY ~+15%, QoQ ~+5% | The strategic core of the mix shift.
- **Retail incremental growth in Q1:** ~Rs. 1,980 Cr from MSME, housing, gold and vehicle combined | Broad-based rather than concentrated in a single product.
- **Retail term deposits (< Rs. 3 Cr):** Rs. 69,410 Cr | YoY +6% | QoQ +3% | The granularity that is driving the cost-of-funds decline.
- **IBPC book (being run down):** Rs. 1,375 Cr, from Rs. 1,618 Cr | Rs. 243 Cr of low-yield assets replaced in a single quarter | Direct, mechanical margin accretion.
- **Geography:** Not disclosed as a separate segment on the call or on Screener. The franchise remains concentrated in coastal Karnataka and the broader South across 975 branches.

3. MANAGEMENT COMMENTARY THEMES

- **Mix shift to RAM:** 'Prioritizing high-quality, better-yielding assets', with the candid admission that large-corporate lending is 'easy banking' they intend to reduce as a share of the book. — Our read: unusually honest framing; the strategy is correct and the Rs. 53,172 Cr RAM book shows it is being executed, not just narrated. Tag: [GUIDANCE]. Tone: Transparent.
- **Deposit granularity:** 'Shifting high-cost bulk deposits to granular retail deposits of less than Rs. 3 crores', with renewals 'executed at predefined card rates'. — Our read: this is the mechanism behind the 22bps CoF fall and it is repeatable for several more quarters. Tag: [GUIDANCE]. Tone: Transparent.
- **Margin trajectory:** NIM improvement is 'already visible' from sub-3% levels and 'it will continue to improve'. — Our read: credible, because the driver is disclosed and verifiable (CoF 5.16%, bulk at 4.7%) rather than asserted. Tag: [GUIDANCE]. Tone: Transparent.
- **Profitability ambition:** CEO targets RoA of '1.35% to 1.40%' against 1.29% delivered. — Our read: an informal upgrade rather than formal guidance, but specific enough to be held against them. This is the number to score the next two quarters on. Tag: [GUIDANCE]. Tone: Transparent.
- **Guidance philosophy:** 'Low promise, higher delivery', and 'we are not resting on the laurels of a single year's performance'; strategy described as 'firmly execution-led'. — Our read: a deliberate under-promise posture, which historically correlates with beats but also with vague formal guidance. Tag: [EST]. Tone: Transparent.
- **ECL preparedness:** A dedicated team has been in place since 1 April and 'we are very well ready and we don't foresee any problem because of that'. — Our read: no quantification of day-one impact was offered. With PCR excl. write-offs at 67.03%, confidence without a number is the weakest claim made on the call. Tag: [EVASIVE]. Tone: Hedged.
- **CEO tenure and continuity:** Answered as 'a process', with disclosures to come via stock exchange filings and the note that 'it is the duty of the MD to update to the Board'. — Our read: procedurally correct, substantively evasive on

the question investors care most about. Tag: [EVASIVE]. Tone: Evasive.

• **Macro stance:** 'Measured cautious outlook' citing geopolitical and supply risks, monsoon uncertainty and a neutral MPC. — Our read: appropriate caution; no attempt to talk up the environment to flatter the guidance. Tag: [EST]. Tone: Transparent.

4. OPERATING & BUSINESS METRICS

• **NIM:** Q1 FY27 = 3.20% | Q4 FY26 = 3.07% | Q1 FY26 = 2.82% | Trend: **improving**.

• **Cost of funds:** Q1 FY27 = 5.16% | Q4 FY26 = 5.38% (implied by the –22bps QoQ) | Trend: **improving**.

• **Yield on advances:** Q1 FY27 = 8.68% | Q4 FY26 = 8.78% (implied by the –10bps QoQ) | Trend: **deteriorating** — the counterweight to the funding gain.

• **CD ratio:** Q1 FY27 = 78.45% | Q4 FY26 = 76.61% | Q1 FY26 = 71.93% | Trend: **improving**.

• **CASA ratio:** Q1 FY27 = 32.42% | Q4 FY26 = 33.61% | Q1 FY26 = 30.84% | Trend: **mixed** — down QoQ, up YoY.

• **Gross NPA:** Q1 FY27 = 2.58% | Q4 FY26 = 2.78% | Q1 FY26 = 3.46% | Trend: **improving**.

• **Net NPA:** Q1 FY27 = 0.87% | Q4 FY26 = 0.98% | Q1 FY26 = 1.44% | Trend: **improving**.

• **Credit cost:** Q1 FY27 = 0.03% | Q4 FY26 = 0.10% | Trend: **improving** — near-zero, and therefore unlikely to improve further.

• **Slippage ratio:** Q1 FY27 = 0.14% | Q4 FY26 = 0.20% | Trend: **improving**.

• **PCR (excl. technical write-offs):** Q1 FY27 = 67.03% | Q4 FY26 = 65.39% | Trend: **improving but still below peer standard**.

• **PCR (incl. write-offs):** Q1 FY27 = 84.70% | Q4 FY26 = 83.54% | Trend: **improving**.

• **CRAR:** Q1 FY27 = 21.10% | Q4 FY26 = 20.07% | Trend: **improving** — substantial headroom, no dilution needed.

• **LCR:** Q1 FY27 = 169% | Q4 FY26 = 165.3% | Regulatory minimum 100% | Trend: **improving**.

• **Standard restructured book:** Q1 FY27 = Rs. 763 Cr | Q4 FY26 = Rs. 806 Cr | Q1 FY26 = Rs. 888 Cr | Trend: **improving**.

• **SMA total / SMA-2:** Rs. 3,435 Cr / Rs. 750 Cr | Rose QoQ | Trend: **deteriorating** — the one operating metric moving the wrong way.

• **Cost-to-income:** Q1 FY27 = 55.14% | Q4 FY26 = 50.47% | Q1 FY26 = 58.05% | Trend: **mixed**.

5. MARGIN DRIVERS

• **Cost of funds reduction:** –22bps QoQ to 5.16% | Recurring: **Yes** | Driven by the bulk-to-retail deposit swap and card-rate renewal discipline; repeatable while system deposit pricing stays benign.

• **IBPC replacement with higher-yield loans:** Rs. 243 Cr replaced, book down to Rs. 1,375 Cr | Recurring: **Yes, but finite** | Only Rs. 1,375 Cr of runway remains, so this lever exhausts within roughly five to six quarters at the current pace.

• **RAM and mid-corporate mix shift:** RAM +12% YoY vs total advances +17% | Recurring: **Yes** | The structural, multi-year margin driver; slow to move the blended yield but durable once shifted.

• **Yield on advances decline:** –10bps QoQ to 8.68% | Recurring: **Yes, unfortunately** | Competitive pricing pressure partially offsetting the funding gain. Management expects retail acceleration to reverse it — unproven.

• **CASA slippage:** 33.61% → 32.42% QoQ | Recurring: **No** | Seasonal Q1 flow pattern; the YoY comparison (30.84% → 32.42%) is the relevant one and is positive.

• **Employee cost movement:** Flagged by analysts; management attributed it to provisioning, actuarial and yield-linked retirement-benefit mechanics | Recurring: **No** | Management expects a similar run-rate next quarter and says it is 'by and large, very well under control'. Do not extrapolate the Q1 spike into forward estimates.

• **Accelerated provisioning to lift PCR:** PCR excl. TWO 65.39% → 67.03% | Recurring: **Deliberate, and likely to continue** | This suppresses near-term PAT but is the correct pre-ECL action; treat continued PCR build as a cost of the thesis, not a negative surprise.

6. GUIDANCE & FORWARD SIGNALS

- **Return on Assets [GUIDANCE]:** Prior = not formally guided | New = 1.35–1.40% | Delta = **raised** (vs 1.29% delivered) | Credibility: **Medium-High** — only 6–11bps away and the drivers are disclosed.
- **NIM [GUIDANCE]:** Prior = 'improve from sub-3%' | New = 'it will continue to improve' from 3.20% | Delta = **maintained upward** | Credibility: **Medium-High** — the CoF mechanism is verifiable, though no numeric target was given.
- **Branch additions [GUIDANCE]:** Prior = n/a | New = 31–32 in FY27, of which 12–13 by end-H1; 1 opened in Q1 | Delta = **specific but back-ended** | Credibility: **Medium** — only one opened in Q1 against a 12–13 H1 target.
- **Credit cost / slippage [GUIDANCE]:** Prior = n/a | New = 'we don't foresee any additional provisioning because of slippage, going forward' | Delta = **maintained** | Credibility: **Medium** — sits uneasily against an SMA book that rose QoQ.
- **ECL transition impact [GUIDANCE]:** Prior = n/a | New = 'we don't foresee any problem' | Delta = **qualitative only** | Credibility: **Low** — no numeric day-one estimate provided, which is the number investors actually need.
- **CD ratio / lending intent [GUIDANCE]:** Prior = n/a | New = focus on improving CD ratio, 'with comfortable CRAR, focus is on increased lending' | Delta = **raised** | Credibility: **High** — CRAR of 21.10% makes this mechanically fundable.
- **Employee cost run-rate [GUIDANCE]:** Prior = n/a | New = similar run-rate expected next quarter | Delta = **maintained** | Credibility: **Medium**.
- **Guidance philosophy:** 'Low promise, higher delivery' — management explicitly prefers informal, conservative signalling to formal targets. Investors should treat the RoA band as the only hard number they have given.

7. CAPITAL ALLOCATION

- **Capex (branch expansion):** 31–32 branches planned for FY27, 1 opened in Q1 | vs FY26 actual of 23 net additions (952 → 975) | An acceleration, and the main P&L cost pressure behind the 55.14% cost-to-income ratio.
- **Capex (technology):** New treasury application, new NPA solution, digital FD, secured credit cards and collection voice bots in build; 'modular and faster implementation' | Quantum not disclosed | FY26 total investing outflow was only Rs. 88 Cr, so the absolute spend remains small.
- **Dividends:** FY26 payout ratio 14% | vs FY25 15%, FY24 16% | Stable band; current yield 1.61%, the highest in the mid-cap private bank peer set. Retention ahead of ECL is the right call.
- **Buybacks:** None. No buyback history disclosed.
- **Equity issuance:** Equity capital flat at Rs. 378 Cr across FY25 and FY26; ongoing ESOP 2023 allotments (most recent disclosed 18 Aug 2026) | Dilution currently immaterial.
- **Working capital / balance sheet deployment:** CD ratio raised from 71.93% to 78.45% YoY, deploying surplus liquidity into advances | The single highest-return capital allocation decision the bank has made this cycle.
- **Net debt / borrowings movement:** Borrowings rose to Rs. 5,329 Cr (FY26) from Rs. 1,941 Cr (FY25); FY26 financing cash flow was Rs. –1,260 Cr | For a bank, deposits (Rs. 1,08,777 Cr) are the funding base; borrowings remain a small share.
- **Capital position:** CRAR 21.10% against a regulatory requirement far below it | No capital raise required to fund the FY27–FY28 growth plan; this is the reason the bank can grow advances at 17% without dilution risk to existing holders.

8. Q&A HEAT MAP

- **Institutional investor (name not disclosed in summary):** Q: 'SMA total is Rs. 3,435 Cr and SMA-2 Rs. 750 Cr, both up QoQ — will provisions rise?' → A: The bank focuses on SMA 0/1/2 and the priority is 'to prevent the slippage'; the quarter-end spike was partly timing and holidays ('single day or double day default'), and 'we don't foresee any additional provisioning because of slippage, going forward'. | Tone: **Hedged** — a plausible explanation, but a confident conclusion drawn from it.
- **Analyst:** Q: 'CEO tenure and continuity?' → A: It is 'a process'; disclosures will be made via stock exchange filings; investor feedback is systematically escalated because 'it is the duty of the MD to update to the Board. There is a

system and process for that.' | Tone: **Evasive** — the most important question on the call, answered with governance procedure.

- **Analyst:** Q: 'ECL preparedness and expected impact?' → A: A dedicated team has existed since 1 April; 'we are very well ready and we don't foresee any problem because of that.' | Tone: **Hedged** — readiness asserted, magnitude withheld.
- **Analyst:** Q: 'Is the employee cost increase structural?' → A: Denied; attributed to provisioning, actuarial and yield-linked retirement benefit mechanics, with a similar run-rate expected next quarter and the line 'by and large, very well under control'. | Tone: **Transparent** — specific mechanism given.
- **Analyst:** Q: 'FCNR deposit traction?' → A: Small; approximately Rs. 60 Cr of fresh FCNR deposits in the period. | Tone: **Transparent** — a small number, disclosed plainly.
- **Analyst:** Q: 'Gold loan growth after last year's constraints?' → A: Renewed push following prior-year board and regulatory-related checks; growth has restarted 'from April itself'. | Tone: **Transparent**.
- **Analyst:** Q: 'Recoveries including technically written-off accounts?' → A: A 'focused area' with asset recovery branches plus HO and field recovery teams; several recovery plans 'at advanced stages'; framing is 'controlling slippages on one side, recovery on the other side'. | Tone: **Hedged** — process described, no quantified recovery pipeline.
- **Analyst:** Q: 'Product roadmap beyond current launches?' → A: Secured credit cards, online trading, and advances against shares and mutual funds are in the pipeline. | Tone: **Transparent**.
- **Dodged / watch-list questions for next quarter:** (1) A numeric ECL day-one impact estimate as a percentage of net worth; (2) MD/CEO term length and board search status in writing; (3) SMA-2 movement in Q2 to test the 'holiday timing' explanation; (4) a quantified recovery pipeline from technically written-off accounts; (5) the cost-to-income trajectory given 30+ branch openings.

9. RISKS FLAGGED

- **SMA book expansion:** SMA aggregate Rs. 3,435 Cr with SMA-2 at Rs. 750 Cr, both up QoQ. | Flagged by: **analyst** (management dismissed it as timing) | Probability: **M** | Impact: **M** | Timeline: **near-term** (visible in the Q2 FY27 print).
- **ECL transition from 1 April 2027:** Day-one provisioning build against net worth, with PCR excl. write-offs at only 67.03% and no quantification offered. | Flagged by: **analyst** | Probability: **M** | Impact: **H** | Timeline: **medium-term**.
- **Macro and monsoon uncertainty:** Management cited geopolitical and supply risks plus monsoon uncertainty against a neutral MPC, maintaining a 'measured cautious outlook'. Relevant given the agri and MSME weighting of the RAM book. | Flagged by: **mgmt** | Probability: **M** | Impact: **M** | Timeline: **near-term**.
- **Yield compression on advances:** Down 10bps QoQ to 8.68% despite 17% book growth; management expects retail acceleration to reverse it. | Flagged by: **mgmt** | Probability: **M** | Impact: **M** | Timeline: **near-term**.
- **CASA slippage:** 33.61% → 32.42% QoQ. If it does not recover, the cost-of-funds tailwind attenuates. | Flagged by: **analyst** | Probability: **M** | Impact: **M** | Timeline: **near-term**.
- **Leadership continuity:** Repeated questioning on CEO tenure met with procedural answers, against the backdrop of the June 2025 MD and ED resignations. | Flagged by: **analyst** | Probability: **M** | Impact: **H** | Timeline: **near to medium-term**.
- **Cost-to-income deterioration:** 55.14% versus 50.47% QoQ while 31–32 branches and a full technology refresh are funded. | Flagged by: **analyst** | Probability: **M** | Impact: **M** | Timeline: **near-term**.
- **Execution risk on the technology stack:** New treasury application, NPA solution, digital FD, secured credit cards and voice bots all in simultaneous build. | Flagged by: **mgmt** | Probability: **M** | Impact: **L** | Timeline: **medium-term**.

10. ANALYST VERDICT

- **Revenue visibility: Intact** — gross advances +17% YoY off a CD ratio of only 78.45% and CRAR of 21.10%; the balance sheet has the capital and the headroom to keep growing without raising equity.
- **Margin trajectory: Intact** — NIM 2.82% → 3.07% → 3.20% with the driver (cost of funds down 22bps QoQ to 5.16%) disclosed and verifiable rather than asserted.

- **Capital allocation quality:** **Intact** — surplus capital is being deployed into advances rather than sat on; dividend payout held at a stable 14%; no dilution and no buyback financial engineering.
- **Competitive moat:** **Weakened** — yield on advances fell 10bps QoQ despite 17% book growth, confirming price-taker status. The moat is a sticky deposit franchise, not lending economics.
- **Management credibility:** **Weakened** — operationally transparent and specific, but evasive on CEO tenure and unwilling to quantify the ECL impact. Both are answerable questions that went unanswered.
- **Valuation comfort:** **Intact** — 0.89x book and 8.16x trailing earnings against City Union at 2.07x / 15.7x and Federal at 2.21x / 18.9x on comparable returns. The margin of safety is the thesis's foundation.
- **Conviction call:** **Increased** — this quarter converted the turnaround from a narrative into printed numbers. Position sizing should nonetheless stay moderate until leadership continuity is settled in writing.
- **Valuation snapshot:** P/E = 8.16 (Screener; forward 7.01) | P/B = 0.89x (Screener stated) | EV/EBITDA = 15.6 (Screener) | RoCE = 6.06% (10-year average 5.87%, Screener) | RoE = 10.4% last year vs 12% 5-year average (Screener) | RoE run-rate 12.48% in Q1 FY27.

Concall data sourced from the Karnataka Bank Q1 FY27 earnings call transcript filed with BSE on 6 August 2026, accessed via Screener.in. All quarterly and annual financial figures are from Screener.in, fetched 18 August 2026. Percentage changes are computed from Screener-reported values.